

DELHI-BASED HARINATH MEHRA is worried about his friends. More specifically, their spending habits. Armed with multiple credit cards, his friends often go on spending sprees. What worries him the most is their tendency to spend more than they can afford, which has become a habit now. “For instance, many times they end up ordering a full meal when all they want is a burger,” says the 24-year-old.

It’s not as if Mehra was born wise. “I went through a lot of stress and anxiety when I couldn’t pay my credit card bills. It was not easy to deal with recovery agents, and it caused me a lot of mental harassment,” recounts Mehra. Thankfully, he is debt-free now. (See box ‘Freedom from Debt’.)

He isn’t alone. Millennials and GenZ folks, enticed by the ready availability of credit cards, Buy Now, Pay Later (BNPL) schemes, and other options on lending apps, can easily fall into a debt trap by overspending using these options, then paying only the minimum due or defaulting on their debt obligations, and then getting caught in the rigmarole of debt recovery. In fact, a July report by credit bureau TransUnion CIBIL reveals that 40 per cent of the retail loan demand is driven by younger customers aged between 18 and 30 years. Experts say this could become a serious challenge, given the demographics of the country where over half the population (52 per cent) is aged below 30, per the National Family Health Survey-5 (2019-21).

Consider this: According to data shared in Parliament, the amount outstanding on credit cards rose 28 per cent to ₹2.10 lakh crore in March 2023 from ₹1.64 lakh crore in March 2022. During the same period, credit card defaults rose to ₹4,072 crore from ₹3,122 crore in March 2022, which implies that defaults increased almost at the same rate as loans being disbursed.

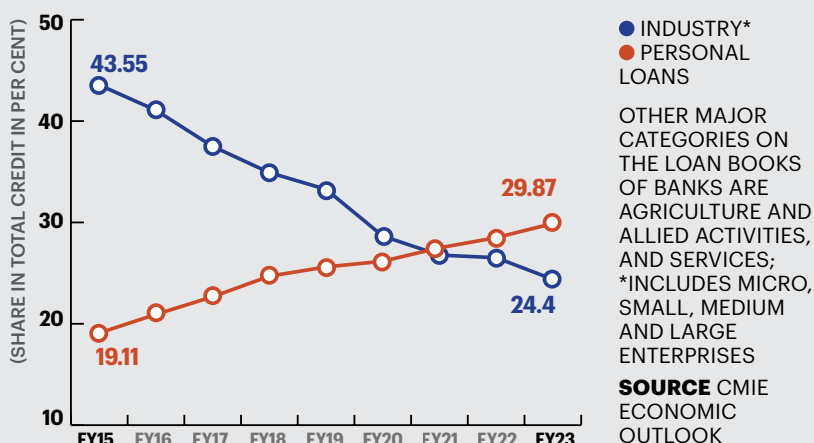
“Credit card payment defaults increased in June 2023, despite credit card lending growth. Unsecured credit portfolios and

small-ticket loans drove retail credit expansion. Serious delinquency rates for credit cards rose by 2.9 per cent, while consumer durables delinquency increased by 1.5 per cent,” says Mahesh Shukla, Founder & CEO of PayMe, a fintech firm that offers short-term and personal loans. The fintech has seen 145 per cent jump in retail loans to ₹450 crore in FY23. Its gross NPA is currently at 3.2 per cent.

The ordeal of 37-year-old Ritu Sree from Hyderabad is yet another example. She was trapped in a web

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PULLING AHEAD



> Banks are increasing retail lending while cutting back on credit to the industrial sector

> Due to rising NPAs in industry loans, banks shifted their focus to retail loans



“There is definitely a concern that non-collateraised loans are increasing but cases of loan default are low as everything is based on the credit score”

MADAN SABNAVIS
CHIEF ECONOMIST, BANK OF BARODA